

Following African Capital into Kenya

Part 1: What ports, banks, and a proposed refinery tell us about the business opportunity. Research cutoff: 7 September 2026.

Imagine running a packaging business in Nairobi. A food processor in Uganda wants to increase its orders. You have the machines, you know the product, and the customer likes your work. Taking the order looks like the obvious next step. Then you sit down with the numbers. Some raw materials come through Mombasa. You must pay suppliers before production starts. The customer pays after delivery. A larger order means more money sitting in materials, finished goods, and unpaid invoices. Somewhere between the port and the customer's bank account, your expansion plan becomes a financing problem. Keep this hypothetical business in mind as we explore the recent interest in Kenya from African investors. It gives us a way to connect the big deals to the ordinary decisions through which an economy grows. A regional bank sees customers who need to trade across borders. An infrastructure investor sees goods moving through a corridor. An industrial investor sees demand that local production could serve. Our packaging business sits inside all three opportunities. Its ability to expand depends on how well those services work together. That connection is the most interesting part of Kenya's investment story. We can follow it from the port, through the balance sheet of a bank, into an industrial project, and eventually back to the owner deciding whether to accept a new order.

The business opportunity begins with movement

Mombasa provides a useful place to start because the activity is already there. Kenya Ports Authority reports that the port handled 45.45 million metric tonnes of cargo in 2025, alongside container traffic of 2.11 million twenty-foot equivalent units. That volume helps explain why businesses serving trade look closely at Kenya. [1] Behind those numbers are customers paying for storage, transport, insurance, clearing, distribution, and finance. A shipment creates several commercial relationships before its contents reach a shop or factory. An investor with a useful service can participate in that activity without owning the goods themselves. For our packaging supplier, however, the port's annual throughput is background information. What matters on a Tuesday morning is whether the materials required for next week's production will arrive in time. If the delivery date moves, wages and rent still fall due. The customer may also have a production schedule that depends on receiving the packaging.

This is how a transport delay travels through a business. First, it ties up cash. Then it disrupts planning. Eventually, it can weaken a customer relationship. The cost is wider than the amount printed on a freight invoice. Following the shipment reveals opportunities that are easy to miss in a discussion dominated by large construction projects. A warehouse that releases stock reliably, a clearing process with fewer surprises, or a bank that finances a verified shipment can improve the same business cycle. Each solves a different part of the problem. It also explains why the geography matters. A service built around trade through Kenya can develop relationships with customers operating in several markets. The commercial attraction lies in repeatedly helping those customers move goods and money, learning their requirements, and becoming useful enough that they return. The interesting next step is to ask where that movement becomes expensive or unpredictable. That is where a business owner sees a problem and a capable investor may see an opportunity.

Why a regional banking group wants a place in that trade

Bank acquisitions become easier to understand from this perspective. On May 31, 2025, Access Bank announced the acquisition of National Bank of Kenya from KCB Group as part of its expansion in Kenya and East Africa. Its stated ambition was to combine a local franchise with a wider African network. [2] The

transaction also offers a useful lesson in reading financial disclosures. Access's June 2025 financial statements put estimated consideration at USD 109.6 million, but said outstanding regulatory conditions meant accounting control had not yet transferred at that reporting date. The public announcement and the accounting milestone were describing different stages of the deal. [3] That detail belongs in the chronology. The larger business question is what the combined institution can do with the relationships it acquires. A customer that previously needed separate arrangements for local banking and regional trade might find value in a more coordinated service. The bank, in turn, gets opportunities to earn from financing, payments, collections, and other customer needs.

Nedbank's proposed purchase of approximately 66% of NCBA points in a similar strategic direction. Its January 21, 2026 announcement valued the proposed consideration at around ZAR 13.9 billion at the specified share price, structured as 20% cash and 80% new Nedbank shares. The buyer was seeking an established regional franchise rather than building every customer relationship from the beginning. [4] The deal received CBK approval in August, while NCBA's September 1 notice still identified outstanding conditions. As of the research cutoff, the transaction was approved and remained conditional. [5], [6] For an SME owner, the significance becomes clear only when the strategy reaches the service counter. Can the bank handle a regional customer's payments more smoothly? Can it understand an export order? Can it offer a facility that remains available through the business's busy season? Those are concrete ways an acquisition can create value. They also give shareholders something useful to watch after the announcement: whether the enlarged group earns better returns by solving more of its customers' problems.

Where the acquisition money actually goes

The structure of a transaction tells us something important about its immediate effect. When an investor buys existing shares, the seller receives the consideration. When a bank issues new equity, the bank receives capital. When a financier supplies a lending line, it creates a funding relationship. These transactions can support the same strategy, but they work through different routes. Take the Nedbank proposal's substantial share component. Existing NCBA shareholders accepting shares would gain an interest in the wider Nedbank group. That is an ownership exchange with a particular investment rationale. It does not mean the full headline value becomes fresh cash available for Kenyan businesses to borrow. Fresh lending capacity develops through the bank's subsequent choices: raising funds, retaining earnings, strengthening capital, improving operations, and deciding which customers it can serve profitably. This is where the integration plan becomes more revealing than the purchase price.

Our packaging supplier would welcome a bank that understands the movement between purchase orders, production, and customer payments. A bigger logo on the statement has little effect on its own. A credit team able to finance an accepted order at a workable cost could change the firm's expansion plans. There is a practical way to follow this after an acquisition. Look at the products introduced, the terms offered, the time required for a decision, and the types of customers gaining access. Then compare those changes with the bank's loan performance and earnings. Customer benefit and commercial discipline need to develop together if the service is to last. An acquisition can also spend its first year absorbing attention. Systems must connect, staff need clarity, and customers need continuity. These are part of making the purchase work. Investors should expect management to explain how integration will improve the business, what it will cost, and when the benefits should become visible. Seen this way, regional banking investment is an opening chapter. The more revealing story follows in the everyday choices the new group makes about customers, funding, and risk.

What a refinery proposal adds to the picture

Industrial investment introduces a different ambition: producing more of what the region consumes. The proposed Dangote refinery puts that ambition on a large scale. Reuters reported on July 7, 2026 that

Dangote Group planned a 700,000-barrel-per-day refinery in Kenya, with financing intended to come from internal cash generation, bonds, and proceeds from a planned IPO. A senior executive described site selection and preparatory work. An exact project cost was not disclosed in that report. [7] The proposal is worth exploring because it brings together industrial capacity, transport, fuel demand, and financing. Its progress now depends on turning those elements into an executable project: securing finance, agreeing supply and sales arrangements, completing engineering, and delivering construction. A useful way to follow it is to look for the next commitment that changes the project's position. Land and environmental approvals enable one stage. A construction contract assigns responsibility for another. Financial close establishes how the work will be funded. Commissioning begins the transition from spending money to earning operating revenue.

That sequence also helps put national investment numbers in perspective. UNCTAD's World Investment Report 2025 Kenya fact sheet records USD 1.503 billion of inward FDI for 2024. This is a historical flow estimate from that edition; a proposed refinery's total budget belongs to a different category and timeframe. [8] An analyst following the opportunity can keep both in view. Recorded flows show investment activity in a defined period. Project milestones show what may contribute in future periods. As construction advances, the story acquires suppliers, workers, invoices, and actual financing commitments. For local businesses, the most useful early question is often where they could participate. A large project may require services, materials, maintenance, logistics, and operating support. The opportunity depends on procurement requirements, payment terms, and the ability to deliver consistently. A small firm needs to understand those conditions before expanding in anticipation of work. That is a more practical response to a megaproject announcement: identify the contracts and capabilities through which the promised activity could become a viable business relationship.

The value of getting the same goods there sooner

There is a strong economic reason to pay attention to the movement around an industrial project. In his peer-reviewed study of railways in colonial India, Dave Donaldson found lower trade costs and regional price gaps, more trade, and higher real incomes. The study helps explain how access to markets can change economic activity. Applying that insight to Kenya means examining the particular delays and costs along its trading routes. [9] The Northern Corridor Transport Observatory provides useful operational material for that work. Its July–September 2025 dashboard tracks transit times along routes including Mombasa to Malaba, Busia, and Kampala. Following these measures brings the discussion closer to the journey a business actually pays for. [10] Let's put some illustrative numbers around the financing effect. Suppose a distributor normally has KES 5 million tied up in goods in transit. Better coordination allows it to maintain the same sales with KES 4 million committed. That releases KES 1 million. If the released amount would otherwise have been financed at an assumed annual rate of 18%, the simple annual interest saving is KES 180,000. The owner now has choices. Reduce borrowing and keep the saving. Carry a product that customers regularly request. Build a buffer so the next delayed payment does not cause an emergency. The operational improvement creates flexibility, and management decides how to use it.

Reliability changes the calculation too. A delivery that consistently takes six days is easier to plan around than one that averages five but occasionally takes twelve. In the second case, a cautious owner may hold extra stock to protect customer orders. That stock absorbs money even when nothing goes wrong. This brings us back to the packaging business. Its capacity to accept a larger order depends partly on how much cash it needs to protect itself from uncertainty. Better logistics can reduce that requirement. Finance can then support additional production rather than merely cover a longer wait. That is a compelling reason to invest in the less glamorous details of a trading corridor. Dependable service can improve the economics of thousands of separate transactions, each with its own customer and repayment cycle.

Who gets to use the regional opportunity

A larger regional market gives a business more potential customers. Reaching them still takes work. The packaging supplier needs to understand specifications, delivery requirements, payment practices, and the alternatives available to its buyer. A market can look close on a map and feel distant when an invoice remains unpaid. The same applies to infrastructure. A facility built to serve several countries needs customers who can use it at a price that makes commercial sense. Some may already have established volumes and dependable demand. Others may be planning businesses that depend on further investment. The strength of the customer base rests on those details. For an entrepreneur, a sensible exploration starts with a few identifiable buyers. Learn what they purchase, how they assess suppliers, when they pay, and what would persuade them to switch. That work turns a broad regional-growth theme into an opportunity that can be costed and financed.

Large and small firms may experience the same network differently. A big customer can negotiate shipment volumes, priority service, and credit terms. A smaller firm may need to pay earlier or combine shipments with others. Its share of the opportunity depends on service design as much as total capacity. This suggests useful questions for operators. What is the smallest commercially viable shipment? How long does onboarding take? Can a customer resolve a dispute without losing weeks? Are prices and service standards clear enough for a small supplier to quote confidently to its own customer? Improving these details can make regional integration more commercially inclusive. It can also create a market for aggregators, distributors, and service providers that help smaller customers meet the requirements of a larger network. Competition matters throughout. Customers benefit when they have usable alternatives and can move business to a provider that serves them better. Investors should be interested in that pressure too: it encourages a company to earn its customer relationships through performance. A regional strategy becomes durable when repeat customers have practical reasons to stay.

Follow the refinery from crude purchase to customer payment

The industrial opportunity comes into sharper focus when we follow the proposed refinery's future operating cycle. It would buy crude, process it, move products into storage and distribution, and collect money from customers. Each stage has a cost, a timing requirement, and someone responsible for delivery. Start with the crude. The plant's configuration determines which feedstocks it can process efficiently. Supply arrangements must cover suitable crude at a workable delivered cost. A nearby resource can be attractive, but the commercial relationship still needs compatible specifications, transport, and agreed purchase terms. Then consider output. Design capacity tells us what the facility is built to process. Actual sales will depend on operating availability, utilization, product yields, and customer demand. Maintenance is part of the business model: keeping a complex plant productive requires spending and planning long after the opening ceremony.

For the customer buying fuel, the final price also includes distribution, storage, taxes, and margins further along the chain. Lower production costs create room for a benefit to move through that chain. Competition and commercial arrangements influence how much reaches the buyer. For a transport operator, even a modest improvement in delivered fuel cost or supply reliability could matter across repeated journeys. For the refinery investor, the focus is the margin left after paying for crude, operations, logistics, and finance. The public interest includes employment, industrial capability, environmental performance, and any obligations taken on by the state. These perspectives belong in the same discussion because the project needs to function commercially while fitting the wider economy. Community engagement, water use, emissions controls, and emergency preparedness are operating conditions. Addressing them early helps establish how the facility can run over its expected life. The financing model deserves a demanding rehearsal. Run the numbers with slower construction, lower utilization, weaker product margins, and a more expensive funding package. That exercise shows where additional equity, stronger contracts, or a

different project design may be needed. It is how enthusiasm becomes a plan that can withstand an ordinary difficult year.

Bring the currency discussion back to the cash book

CBK's August 11, 2026 monetary policy statement reported reserves of USD 15.249 billion, equivalent to 6.3 months of import cover, and retained the Central Bank Rate at 8.75%. It also discussed external pressures including energy costs and geopolitical uncertainty. Those conditions frame the environment in which businesses make their currency decisions. [11] For our packaging supplier, the immediate issue is the relationship between receipts and payments. If it earns shillings but must pay a dollar supplier, the exchange rate affects the cost of its next batch of materials. If it borrows dollars as well, it adds a future dollar repayment to the same cash book. Here is a simple sensitivity exercise. A USD 100,000 principal obligation requires KES 13 million at an assumed rate of KES 130 per dollar. At KES 145, it requires KES 14.5 million. The difference is KES 1.5 million before interest and fees. An apparently attractive foreign-currency interest rate needs to be considered alongside that exposure.

An exporter receiving dollars has a different starting point. It can match some payments with dollar receipts, provided the timing and amounts line up. A customer paying late can still upset the arrangement. Currency planning therefore belongs beside collections planning. The practical exercise is to list the next several months of foreign-currency payments and receipts. Identify the gap, then decide how to manage it through pricing, contract terms, cash reserves, or available hedging arrangements. This makes the exposure visible before the exchange rate moves. A large industrial project has a similar sequence at a larger scale. Construction requires equipment and services, some imported. Operations may replace imported products or earn export revenue, while continuing to need inputs and debt service. Its contribution to foreign-currency resilience develops across those stages. This is why it is useful to follow net flows over time. A project can increase foreign-currency demand during construction and improve its position later. The investment case should explain that transition. Businesses and investors can then plan around the obligations involved rather than relying on a single reassuring view of the shilling.

What the bank must solve before it can lend more

Our supplier's next stop is the bank. The owner brings an order, a costing sheet, and an explanation of when the customer will pay. On the other side of the desk, the bank must decide whether it understands the transaction well enough to finance it. This decision sits inside a wider balance sheet. CBK's 2024 Bank Supervision Annual Report recorded a sector gross non-performing loan ratio of 17.1% at December 2024. That historical starting point helps explain why the quality of existing lending is central to a bank's growth plans. [12] Troubled loans require attention, provisions, and recovery work. New capital can give an institution room to deal with them and build a stronger business. Management also has to invest in people and systems, maintain sufficient liquidity, and find customers whose borrowing can earn a satisfactory return after losses and costs. CBK's Annual Report 2025 describes the increase in minimum core capital introduced through the 2024 legal amendments. That direction of reform encourages stronger balance sheets and helps explain the strategic importance of capital. The timetable is a separate legal detail that needs to be read alongside subsequent changes. [13]

For a customer, stronger capital is most useful when accompanied by a lender that can assess the business properly. A packaging order has different risks from a personal salary loan. The credit team needs to understand the buyer, production costs, delivery obligations, and collection date. The structure of the facility should follow that transaction. The bank also needs a sustainable funding model. A loan that appears profitable before funding costs, operating expenses, and losses may contribute little afterward. Expanding rapidly into unfamiliar customers can produce growth today and repayment problems later. Regional ownership can help by bringing capability and experience. The IMF's study of pan-African banking describes opportunities from wider networks and improved services, alongside the need for cross-border

supervision and coordination. A group operating in several jurisdictions needs to understand how funding, capital, and risk move between them. [14] The useful question is how those capabilities reach the local customer. Better trade finance, dependable collections, and informed credit decisions provide tangible evidence that the regional strategy is working.

From a larger bank to a more useful bank

Research gives us a reason to look beyond the ownership label. Beck, Demirgüç-Kunt, and Martínez Pería studied 91 large banks across 45 countries and found that banks used different technologies and organizational structures to serve SMEs. Their findings challenge the idea that SME finance must rely exclusively on traditional relationship lending. There is room for several ways of understanding and serving a business. [15] For our supplier, that could mean combining transaction records with knowledge of the customer and the order. A digital record helps establish cash movement. A conversation about production reveals why purchases cluster in certain months. Both can contribute to a better decision. This is a promising place for regional banks to compete. A lender that recognizes a sound transaction other institutions struggle to assess can win a customer and develop a profitable relationship. The opportunity grows when that customer begins trading with more buyers and needs additional services. The process still has to work for the owner. Repeated requests for the same documents, unclear decisions, and delays can make a theoretically suitable loan unusable. Service quality includes giving a timely answer and explaining what evidence would improve an application.

There is a public-policy connection too. The World Bank's November 2025 discussion of Kenya's economy emphasized competition and productivity alongside macroeconomic resilience, while noting continuing fiscal pressures. Better conditions for businesses help turn financial capacity into demand for productive lending. [16] Consider what happens when our supplier finally accepts the larger order. More materials are purchased. Production is scheduled. Goods are delivered. The customer pays, and the facility is repaid. The bank earns from a functioning commercial cycle, while the owner gains the confidence and experience to consider the next order. That sequence gives us a practical way to follow Kenya's investment story over the coming years. Watch the projects as they become operating assets. Watch banks as they turn regional strategies into useful services. Watch businesses as they use those services to reach customers and improve productivity. The most revealing evidence will arrive in those everyday transactions. In Part 2, we will stay with the business owner and open the loan agreement: the reference rate, the premium, the fees, and the repayment dates that determine whether taking the next order is a sound decision.

References

- [1] Kenya Ports Authority, "Port of Mombasa registers impressive cargo growth in 2025." [Online]. Available: [KPA report](#). Accessed: Sep. 7, 2026.
- [2] Access Bank, "Proposed acquisition of National Bank of Kenya Limited by Access Bank PLC," May 31, 2025. [Online]. Available: [corporate announcement](#). Accessed: Sep. 7, 2026.
- [3] Access Bank PLC, *Financial Statements for the Period Ended June 30, 2025*, capital commitments, p. 242. [Online]. Available: [financial statements](#). Accessed: Sep. 7, 2026.
- [4] Nedbank Group, "Nedbank announces intention to acquire majority stake in NCBA Group to accelerate East African growth," Jan. 21, 2026. [Online]. Available: [announcement](#). Accessed: Sep. 7, 2026.
- [5] Central Bank of Kenya, "Acquisition of upto 66 percent of the issued share capital of NCBA Group PLC by Nedbank Group Limited," Aug. 31, 2026. [Online]. Available: [CBK release](#). Accessed: Sep. 7, 2026.
- [6] NCBA Group, "Partial pro rata offer by Nedbank Group Limited to acquire approximately 66% of NCBA Group PLC: Receipt of Central Bank of Kenya approval," Sep. 1, 2026. [Online]. Available: [shareholder notice](#). Accessed: Sep. 7, 2026.

- [7] I. Anyaogu, “Dangote to fund proposed Kenya refinery with cash, bonds and an IPO,” *Reuters*, Jul. 7, 2026, syndicated by MarketScreener. [Online]. Available: [Reuters report](#). Accessed: Sep. 7, 2026.
- [8] UN Trade and Development, “Country fact sheet: Kenya,” *World Investment Report 2025*. [Online]. Available: [country fact sheet](#). Accessed: Sep. 7, 2026.
- [9] D. Donaldson, “Railroads of the Raj: Estimating the impact of transportation infrastructure,” *American Economic Review*, vol. 108, nos. 4–5, pp. 899–934, 2018, doi: [10.1257/aer.20101199](#). **Peer-reviewed.**
- [10] Northern Corridor Transit and Transport Coordination Authority, *Northern Corridor Quarterly Performance Dashboard, July to September 2025*. [Online]. Available: [dashboard](#). Accessed: Sep. 7, 2026.
- [11] Central Bank of Kenya, “Monetary Policy Committee meeting,” Aug. 11, 2026. [Online]. Available: [MPC statement](#). Accessed: Sep. 7, 2026.
- [12] Central Bank of Kenya, *Bank Supervision Annual Report 2024*, sec. 3.13. [Online]. Available: [annual report](#). Accessed: Sep. 7, 2026.
- [13] Central Bank of Kenya, *Annual Report 2025*, banking sector developments. [Online]. Available: [annual report](#). Accessed: Sep. 7, 2026.
- [14] C. Enoch, P. H. Mathieu, M. Mecagni, and J. I. Canales Kriljenko, *Pan-African Banks: Opportunities and Challenges for Cross-Border Oversight*. Washington, DC, USA: International Monetary Fund, 2015, doi: [10.5089/9781498365444.087](#). Institutional research report.
- [15] T. Beck, A. Demirgüç-Kunt, and M. S. Martínez Pería, “Bank financing for SMEs: Evidence across countries and bank ownership types,” *Journal of Financial Services Research*, vol. 39, nos. 1–2, pp. 35–54, 2011, doi: [10.1007/s10693-010-0085-4](#). **Peer-reviewed.**
- [16] World Bank, “Kenya shows economic resilience, but sustained progress depends on accelerating procompetitive reforms,” Nov. 24, 2025. [Online]. Available: [Kenya Economic Update release](#). Accessed: Sep. 7, 2026.